

these banks hold long-term government bonds, which they bought in 2019, 2020 and 2021. That's not just banks, governments too have significant holdings of US Treasuries, and there's a markdown of about 18-20 per cent, because rates have risen. But that's neither here nor there. None of these banks need to sell those bonds to cash out right now to cover deposits. That's why I said it's about trust. It's a trust deficit. If nobody had withdrawn money from Silicon Valley Bank, we wouldn't be talking about SVB right now, as a bank that shut down. The fact that there's \$620 billion in potential losses weighing on the banking system is neither here nor there. What made SVB so unusual was that 60 per cent of its assets were in [US] Treasury bonds and mortgage-backed securities; it was more like a hedge fund than a bank. In contrast, we look at a typical bank in the US, it's more like 20-25 per cent, or a typical bank in Europe, which also faces the same issue. So, the magnitude of the bond holdings is much smaller at other banks. The worry you have though is that this banking crisis triggers a bad recession and the loans that these banks have start to fail, then you have a real problem on banks' hands... The next step in this process is to make sure this banking crisis doesn't become an economic crisis.

Q: This is an interesting point, because economic history suggests that these bank failures typically happen just before the US economy goes into recession. Do you see this as a prelude or a harbinger of recession to come?

A: There's been talk of recession even before the bank failures, right? I've heard more talk of recession in the last year than I've had in my entire 40-plus years in markets. The amazing thing is, in spite of all this talk of a recession, the economy has been remarkably resilient. Let's see though if it's resilient enough to bounce back from this. My guess is it adds one more chip against the economy continuing to stay strong. Weakness by itself is not the issue. It's how deep the recession is, and how much it might lead to losses on those loans that banks have on their

ON ANOTHER BANKING CRISIS

I don't think it's a high-probability event, but there's definitely a chance it could happen. But here's the good news. We did survive 2008... Even if that is the outcome, you've got to figure out a way of surviving. Because sometimes there are opportunities in the worst of threats

ON THE ROLE OF REGULATORS

The reality is that [all] the regulators put together do not have the resources to stop a complete bank run... If, in fact, the regulators were in control of the process, you could rest easier, but they're not

ON START-UP FUNDING

I think it's healthier for the [start-up] ecosystem not to have too much money sloshing around. For a decade, we had too much risk capital funding these companies. What happened in 2022 was a reversal to normalcy... [so] you might be shedding tears for the wrong companies... that raised too much capital and went after traditional companies and ruined them... nobody shed tears for them. So why shed tears for the disruptors now?

portfolios. I'm not quite ready to write the obituary of the US economy yet. It is not a good sign if you think about what the economy would do over the next year, but it's not a fatalistic sign either.

Q: Now a lot of people have rushed to say that, don't panic, this is not 2008. But people who have watched markets for a long time know that every crisis is different. Should we take comfort from the fact that regulators are aware of the problems that led to the previous crisis and therefore, we will not land up there again? Or could this crisis actually play a little differently, but be no less damaging in a sense?

A: I think both statements can be true. You can take some comfort in the fact that regulators have lived through something like this before and have the ammunition to deal with it. At the same time, in every crisis, regulators say, 'Don't worry, this is not a crisis. Everything's going to be okay.' I think we need to be on high caution. And my suggestion is, don't go about closely tracking markets every day, because there's nothing you can do to stop a banking crisis. Just take care of your own finances the best you can. And that might mean putting safety first, at least in the near term, if you're an investor who cares about protecting the principal, in your portfolio.

Q: How do you see the US Fed moving right now, because they had inflation as their central target, but given the noise in the banking space, has their job become much more complicated in a sense? Could they now begin to think that their primary problem is to restore trust in the banking system rather than fight the fires of inflation?

A: It really has made their job much more complicated, because in the near term, you've got to stop the banking crisis. If there is a major banking crisis, victories against inflation are going to be hollow; because what are you fighting for if the entire economy is being taken down by the banks in trouble? I think for the near